Canada Revenue Agency | Agence du revenu du Canada

Carbon Capture, Utilization, and Storage Investment Tax Credit (2022 and later tax years)

Schedule 78
Code 2201
Protected B when completed

Corporation's name	Business number	Tax year-end Year Month Day
		2024/12/31

- Use this schedule to calculate your carbon capture, utilization, and storage investment tax credit (CCUS ITC) if you are a taxable Canadian corporation or a taxable Canadian corporation that is a member of a partnership that has incurred eligible expenses after 2021 and before 2041.
- File a separate schedule for each project that is assigned a project code by Natural Resources Canada (NRCan).
- The terms dual-use equipment, eligible use, first day of commercial operations, non-government assistance, projected eligible use percentage, qualified CCUS expenditure, specified percentage, and total CCUS project review period are defined in subsection 127.44(1).
- The terms apprenticeship requirements, covered worker, designated work site, installation taxation year, prevailing wage requirements, Red Seal trade, Red Seal worker, reduced tax credit rate, regular tax credit rate, and specified property are defined in subsection 127.46(1).
- The specified percentages to calculate your cumulative CCUS development tax credit or your CCUS refurbishment tax credit for a tax year are:

	After 2021 and before 2031	After 2030 and before 2041	After 2040
Carbon capture (ambient air)	60%	30%	0%
Carbon capture (other)	50%	25%	0%
Carbon transportation	37.5%	18.75%	0%
Carbon storage	37.5%	18.75%	0%
Carbon use	37.5%	18.75%	0%

- Labour requirements apply in respect of specified property prepared or installed after November 27, 2023. If you do not elect to meet the labour requirements in Part 2, you will only be able to claim the CCUS ITC at the reduced tax credit rate, which is the regular tax credit rate minus 10 percentage points.
- Expenditures incurred before the first day of commercial operations are eligible for the CCUS development tax credit. Expenditures incurred on or after the first day of commercial operations and during the total CCUS project review period are eligible for the CCUS refurbishment tax credit. Expenditures that are eligible for the CCUS refurbishment tax credit are subject to a limit of 10% of the total of all qualified CCUS expenditures incurred by the taxpayer before the first day of commercial operations of the CCUS project.
- Generally, you may claim only one of the clean economy ITCs for the same eligible property. You may claim multiple clean economy ITCs for the same project, if the project includes different types of eligible property. Additionally, you cannot claim both the CCUS ITC and the ITCs in section 127 (for example, the Atlantic ITC) for the same qualified expenditure.
- All legislative references are to the Income Tax Act.
- File this schedule with your T2 Corporation Income Tax Return for each year of the CCUS project on or before the later of December 31, 2025 and one year after your filing due date for the tax year.

NRCan project code 100 _____ First day of commercial operations (yyyy/mm/dd) 101 _____

Are you required to file a climate risk disclosure (CRD) report? 102 ☐ Yes ☐ No

What is the date of the latest CRD report that has been produced and disclosed? (yyyy/mm/dd) 103 _____

Part 1 - CCUS ITC

If you need more space, attach additional sheets.

1A Capital cost allowance (CCA) class number 105	1B Description of qualified CCUS expenditure 110	1C Dual-use equipment Yes (Y) or no (N) 115	1D Province 120	1E Designated work sites (see note 1) 122	1F Current year CCUS expenditure (see note 2) 125	1G Adjustments (see note 3) 130	1H Assistance repaid (see note 4) 135

Note 1: Assign a number to each designated work site and keep a record in case the Canada Revenue Agency asks to see it later. If there is more than one designated work site associated with the property, you must elect to meet the labour requirements for each designated work site to claim at the regular tax credit rate.

Note 2: If any part of the qualified expenditure of the CCUS project is unpaid 180 days after the end of the tax year in which the expenditure is otherwise incurred, the expenditure is deemed to be incurred at the time it is paid (see subsection 127.44(12)). Also see special rules in subsection 127.44(9).

Note 3: Include non-government assistance that you received, that you are entitled to receive, or that you can reasonably expect to receive in respect of the property (see subsection 127.44(9)).

Note 4: Include non-government assistance that you repaid (or that you have not received and can no longer reasonably expect to receive) that was applied to reduce the capital cost of a property for a preceding tax year (see subsection 127.44(10)).

PDF created with pdfFactory trial version pdffactory.com

Part 1 - CCUS ITC (continued)

1I Eligible CCUS expenditure (column 1F minus column 1G plus column 1H) 140	1J Qualified expenditure formula (see note 5) 145	1K Qualified CCUS expenditure (column 1I multiplied by column 1J) 150	1L Specified percentage 155	1M CCUS ITC for current year (column 1K multiplied by column 1L) 160	1N Electing under subsection 127.46(2) to meet labour requirements for the designated work sites? Yes (Y) or no (N) 165

Cumulative CCUS development tax credit for current year (total of column 1M for expenditures incurred before the first day of commercial operations plus line 170 of the previous year) (see note 6) 170

Cumulative CCUS development tax credit for previous year (line 170 of the previous year) 175

CCUS development tax credit for the current year (line 170 minus line 175) (see note 7) 180

CCUS refurbishment tax credit (total of column 1M for expenditures incurred on or after the first day of commercial operatios) 185

CCUS ITC allocated from partnerships (amount from box 245 of each T5013 slip or from each letter) 190

CCUS ITC (total of lines 180, 185, and 190) A

Enter amount A on line 200 of Schedule 31, Investment Tax Credit - Corporations

Note 5: If the entry in column 1B is carbon capture or carbon transportation, enter the result of the formula [(B+C+D+E)xF] for projected eligible use described under qualified carbon capture expenditure or qualified carbon transportation expenditure in subsection 127.44(1). Otherwise, enter "1".

Note 6: If the projected eligible use percentage is reduced prior to the first day of commercial operations, recalculate the cumulative CCUS development tax credit for the current year, (see subsection 127.44(6)).

Note 7: If this amount is negative, enter "0" and fill out Part 4 (see subsection 211.92(2)).

Part 2 - Attestation and election to meet labour requirements

By responding yes for designated work sites in column 1N in Part 1, the corporation elects, under subsection 127.46(2), to meet the prevailing wage requirements under subsection 127.46(3) and the apprenticeship requirements under subsection 127.46(5) for each installation taxation year in respect of the CCUS ITC claimed.

I, 200 Last name 205 First name 210 Position, office, or title

am an authorized signing officer of the corporation. I attest that I have sufficient information and knowledge that, in each installation taxation year in respect of the CCUS ITC, the corporation has met the prevailing wage requirements in subparagraph 127.46(3)(b)(i) for its own employees who are covered workers, if any, at the designated work sites, has taken reasonable steps to meet those requirements for any other covered worker employed by another person or partnership at the designated work sites, and has met the apprenticeship requirements in paragraph 127.46(5)(a) or (b) in respect of Red Seal workers at the designated work sites.

215 Date (yyyy/mm/dd) Signature of authorized signing officer 220 Telephone number

PDF created with pdfFactory trial version pdffactory.com

Part 3 - Labour requirements addition to tax

Fill out this part in the installation taxation year only for those designated work sites for which you elected to meet the labour requirements in Part 2 in the current or a previous tax year.

If you elected to meet the labour requirements in Part 2, did you meet the prevailing wage requirements under subsection 127.46(3) and the apprenticeship requirements under subsection 127.46(5) (including deemed reasonable efforts under subsection 127.46(16))? If yes, the rest of this part does not apply to you. If no, fill out the rest of this part to calculate your labour requirements addition to tax. 300 ☐ Yes ☐ No

Wage requirements (subsection 127.46(6)

Number of covered workers paid below the prevailing wage requirements 305

Total number of days that covered workers were paid below the prevailing wage requirements (see note 8) 310

Wage requirements addition to tax (line 310 multiplied by $20) B

Apprenticeship requirements (subsection 127.46(7))

For each designated work site where Red Seal workers were engaged in the preparation or installation of specified property for which you claimed the regular tax credit rate and determined that less than 10% or the maximum percentage of apprentices to journeypersons of the total hours worked in such activities were worked by apprentices in a Red Seal trade, perform the following calculation (see note 9):

Total hours of labour required to be performed by apprentices registered in a Red Seal trade 315

Total hours of labour performed by apprentices registered in a Red Seal trade plus any other hours for which you met the apprenticeship requirements in paragraph 127.46(5)(a) or (b) 320

Apprenticeship requirements addition to tax (line 315 minus line 320, multiplied by $50) C

Labour requirements addition to tax allocated from partnerships (amount from box 246 of each T5013 slip or from each letter) 325

Labour requirements addition to tax (amount B plus amount C plus line 325) 330

Enter the amount from line 330 on line 580 of the T2 return.

Note 8: For each covered worker at each designated work site, calculate the number of days they were paid below the prevailing wage requirements. Add these amounts together and enter the result on line 310.

Note 9: The maximum percentage of apprentices to journeypersons is based on the applicable law or collective agreement, (see paragraph 127.46(5)(b)).

PDF created with pdfFactory trial version pdffactory.com

Part 4 - Part XII.7 tax

- You may be subject to Part XII.7 tax:
  - for a tax year that includes the first day of commercial operations or a preceding tax year, if your cumulative CCUS development tax credit for the immediately preceding tax year exceeds your cumulative CCUS development tax credit for the current tax year (see subsection 211.92(2))
  - if your actual eligible use percentage is more than five percentage points lower than your projected eligible use percentage for the relevant project period in respect of a particular recovery taxation year (see subsections 211.92(4) and (5))
  - the tax is accelerated if the actual eligible use percentage is less than 10% during any year during the project's total CCUS project review period, (see subsection 211.92(3));
  - if you dispose of or export property for which the qualified CCUS expenditure resulted in the determination of a CCUS development tax credit or a CCUS refurbishment tax credit for a previous year (see subsections 211.92(9) and (10))
- You may not be subject to the full amount of Part XII.7 tax due to extraordinary circumstances, or shutdown (see subsections 211.92(6), (7), and (8)).
- The terms actual eligible use percentage, project period, recovery taxation year, and relevant project period are defined in subsection 211.92(1).
- Part XII.7 tax applies to recover some or all of the cumulative CCUS development tax credit and the CCUS refurbishment tax credit in certain circumstances where the actual eligible use percentage is less than the projected eligible use percentage. Fill out this table for the current project period:

Project period (1 - 4) 001

Calendar year	Projected eligible use percentage 002	Actual eligible use percentage 003
1		
2		
3		
4		
5		
6		

Recovery of development tax credit (subsection 211.92(2))

Cumulative CCUS development tax credit for the previous tax year (line 175)		D
Cumulative CCUS development tax credit for the current year (line 170)		E
Recovery of development tax credit (amount D minus amount E) (if negative, enter "0")	400	

Development credits recovery amount (subsection 211.92(4)) (see note 10)

Cumulative CCUS development tax credit for the year that includes the first day of commercial operation		F
Amount that would be determined for amount F if the projected eligible use percentage for the relevant project period were equal to its actual eligible use percentage		G
CCUS development tax credits previously repaid, to the extent that it did not reduce tax payable in a previous tax year		H
Development credits recovery amount (amount F minus amount G minus amount H) (if negative, enter "0"	405	

Refurbishment credits recovery amount (subsection 211.92(5)) (see note 10)

Total of all CCUS refurbishment tax credits for the current or previous tax years		I
Amount that would be determined for amount I if the projected eligible use percentage for the relevant project period were equal to its actual eligible use percentage		J
CCUS refurbishment tax credits previously repaid, to the extent that it did not reduce tax payable in a previous tax year		K
Refurbishment credits recovery amount (amount I minus amount J minus amount K) (if negative, enter "0")	410	

Note 10: This amount is calculated for a recovery taxation year if the actual eligible use percentage for the relevant project period is more than 5 percentage points lower than the projected eligible use percentage of the CCUS project for that period. If the actual eligible use percentage for any period described in subparagraph (c)(i) or (ii) of the definition of qualified CCUS project is less than 10%, then the actual eligible use percentage of the project for the relevant project period to which the period relates (and for each subsequent project period) is NIL. Additionally, the relevant project period for the particular recovery taxation year is deemed to include each subsequent project period (see subsection 211.92(3)).

PDF created with pdfFactory trial version pdffactory.com

Part 4 - Part XII.7 tax (continued)

Property disposition (subsection 211.92(9) and (10))

For a disposition or export before the total CCUS project review period, the expenditure is deemed not to be a qualified CCUS expenditure of the CCUS project for the purpose of determining your cumulative CCUS development tax credit for the year and any subsequent tax years (see paragraph 211.92(9)(a)).

Recalculate the cumulative CCUS development tax credit for the current year (line 170). Do not fill out this table.

Fill out this table if you dispose of the property or export the property from Canada during the total CCUS project review period (see paragraph 211.92(9)(b) and subsection 211.92(10)).

4A CCA class number 415	4B Description of qualified CCUS expenditure 420	4C CCUS ITC amount 425	4D Proceeds of disposition or fair market value of property (see note 11) 430	4E Capital cost 435

4F Column 4C multiplied by column 4D divided by column 4E 440	4G CCUS development and refurbishment credits recovery amounts previously paid 445	4H Column 4F minus column 4G 450

Development property disposition (applicable amount from column 4H) 455

Refurbishment property disposition (applicable amount from column 4H) 460

Part XII.7 tax allocated from partnerships (amount from box 269 of each T5013 slip or from each letter) 465

Total Part XII.7 tax payable (total of lines 400, 405, 410, 455, 460, and 465) L

Enter amount L on line 726 of the T2 return..

Note 11: If the property is disposed of to a person who deals at arm's length with the corporation, enter the proceeds of disposition. If the property is disposed of to a person who does not deal at arm's length with the corporation, or is exported from Canada but not disposed of, enter the fair market value. The amount cannot exceed the capital cost of the property.

PDF created with pdfFactory trial version pdffactory.com